

card companies and big banks are in it to take advantage, and they are looking for every opportunity to do so. Don't give it to them.

Many Americans use credit to buy things that do not increase in value. If you use credit to buy items that depreciate, then you are paying, over a period of months, for something that is only getting less valuable over time. That is not how investing is supposed to work.

Unless you are buying a collectible, most of our cars depreciate the minute we drive them off the car lot. My advice is to buy a car that is a year or two old, and if you can't purchase it outright, pay it off as soon as possible.

Wise Investing

Clothes, shoes, furniture, vacations, eating out – these items are commonly bought using credit, and you end up paying today for something that you ate last month. The best use of credit is to use it for things that will increase in value. Real estate, stocks, bonds, art – there is a chance for tremendous gain when you buy items that will appreciate. That is why your home is a wonderful investment. It is your haven on several levels. With it, you are building memories, and you are also building wealth.

The author of *Rich Dad, Poor Dad*, Richard Kiyosaki, says that the best investment you can make is in yourself. By reading, and learning, you are doing just that. How you invest your time is just as important as how you invest your money.

Bright Idea

A little known wealth creation tactic is using a corporation to build wealth. You can free yourself from debt problems and poor credit by starting your own corporation. I see that scowl. I am not off my rocker. You can have a corporation. Yes, you.

Why form a corporate entity? You start with a clean slate! You get a fresh credit history, plus many tax advantages, and protection of your personal assets. And the chance for a \$1 million credit line! Do you think that would happen if it were just little old you?